GL Impact, Accounting, Chart of Accounts & Accounting Period

Q.1. What is a Chart of Accounts? What is the Navigation of chart of accounts in NetSuite?

Ans.

- Chart of Accounts is a structured list of all the financial accounts that an organization uses to categorize and record its financial transactions. The chart of accounts serves as the foundation for an organization's financial accounting system, and it helps organize and track financial data for reporting, analysis, and compliance purposes.
- Navigation:
    - Setup > Accounting > Chart of Accounts
    - List > Accounting > Account

Q.2. What is the use of Summary checkbox in chart of accounts?

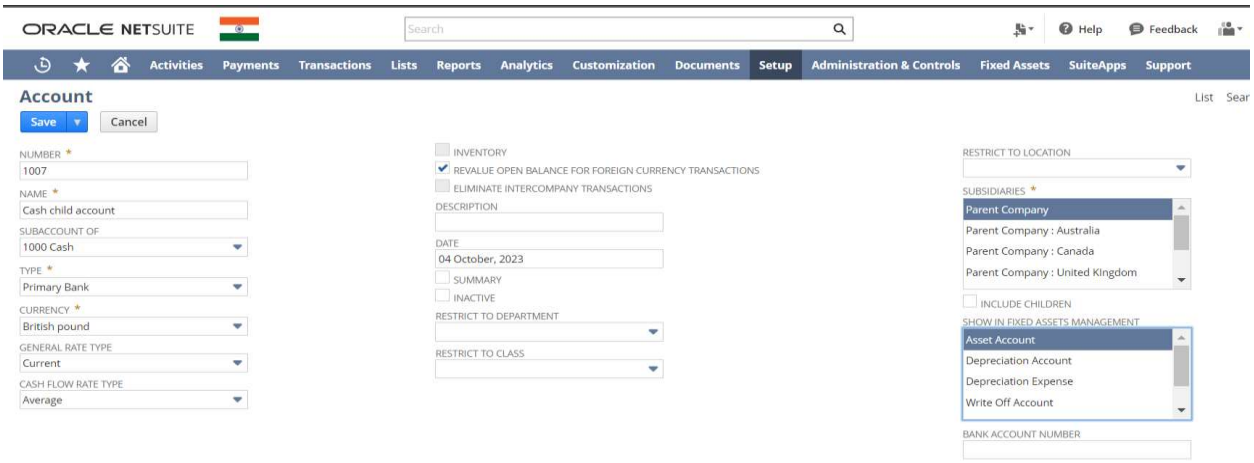
Ans.

- If we want to create an account record solely for reporting purposes, then a summary checkbox is used. If we select summary checkbox, then inactive checkbox also gets selected automatically.
- And such accounts are called summary accounts and are useful when we want to create a non-posting, inactive parent account that has active child accounts.
- Summary accounts are inactive because we don't want this account to be part of any transaction, hence this account is restricted.
- We can convert an existing account with a transaction balance into a summary account.

Q.3. How can we link fixed asset accounts in a chart of accounts?

Ans.

- Create a new account: Setup > Accounting > Chart of Accounts > New.
- Enter account details > Select option in SHOW IN FIXED ASSETS MANAGEMENT > Save



Q.4. What is Accounting Period? What is the Navigation to set up accounting period?

Ans.

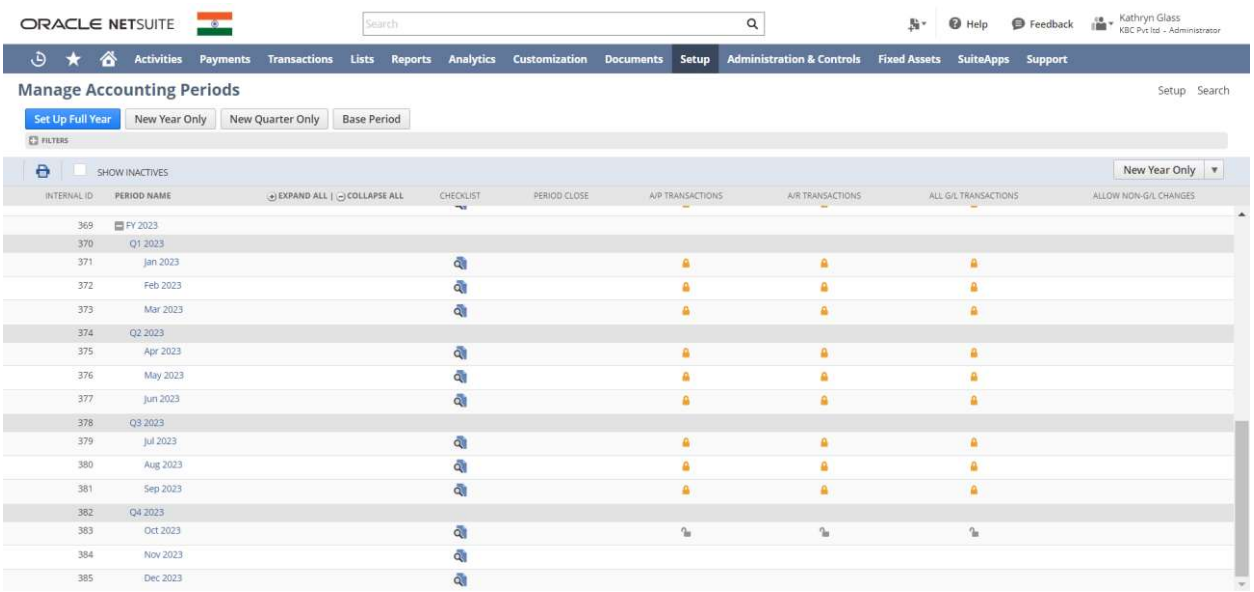
- An accounting period refers to a specific time during which financial transactions are recorded and reported. NetSuite allows us to define accounting periods to organize and manage financial data according to their specific business needs and compliance requirements.
- For account period NetSuite provide us with four options i.e., Full year, New year, Quarter & Base period.
- First Enable Features: Setup> Company > Enable Features >Accounting
- Navigation to set up accounting period: Setup > Accounting > Manage G/L > Manage Accounting Periods.

Q.5. What is the procedure for closing an account period?

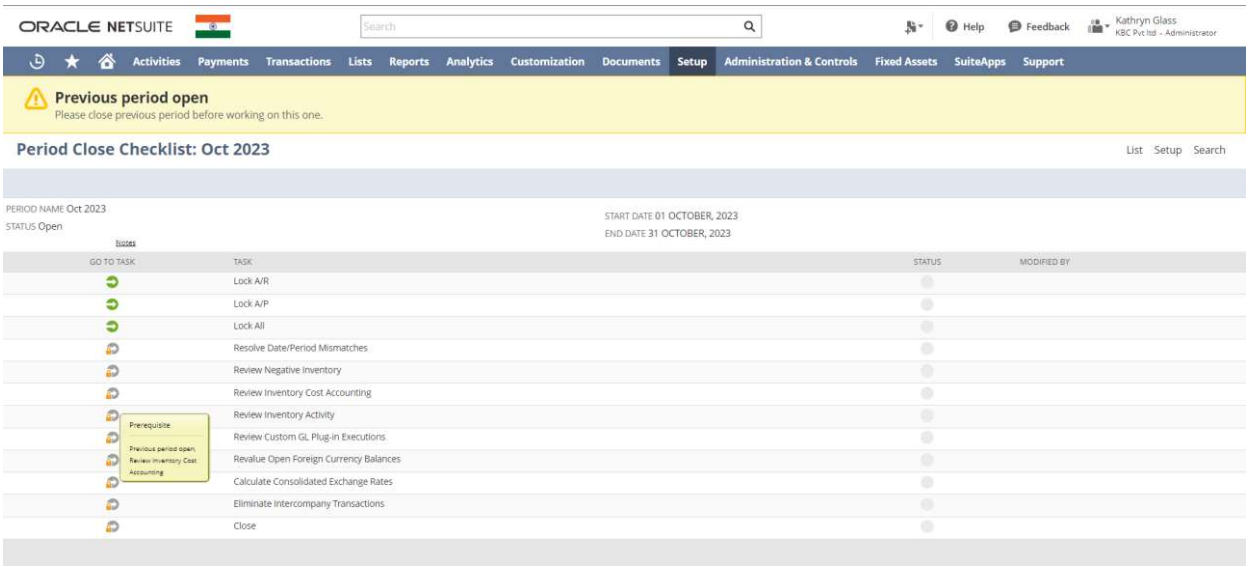
Ans.

- Go to Setup > Accounting > Manage GL > Manage Accounting Periods.

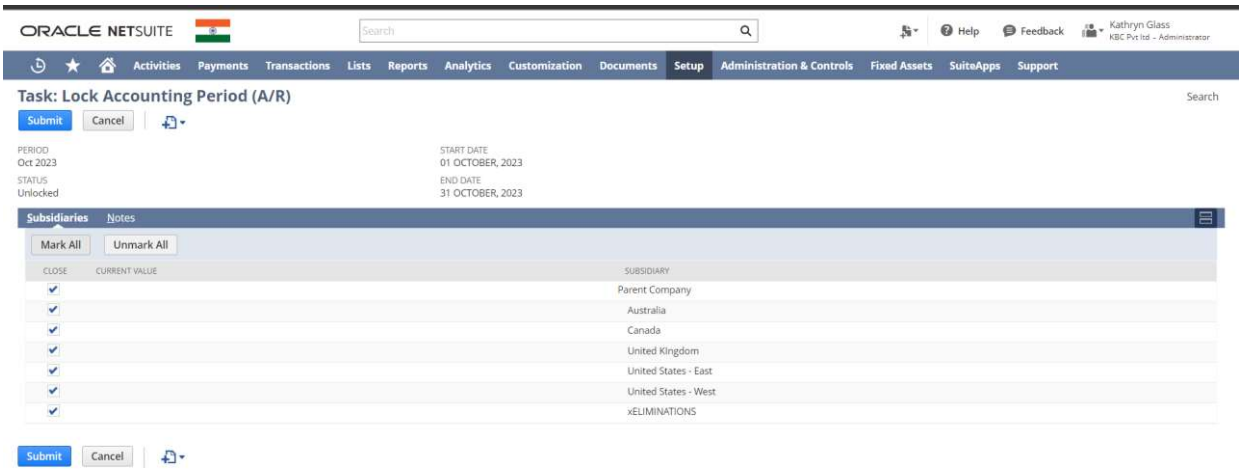
- We will find a list of account period we have created till now.

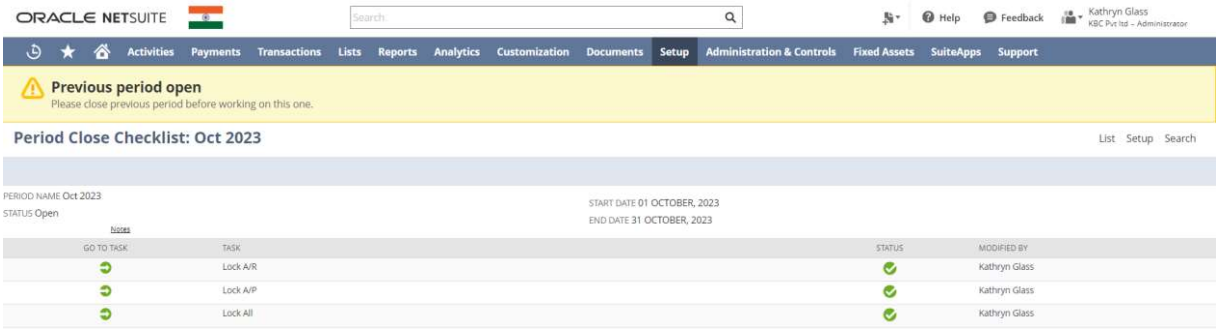


- Go to Period Close Checklist of the period we want to close.



- Then go to task > Complete all tasks in the checklist > Submit.





- Likewise complete all tasks and hence selected period will close & locked.

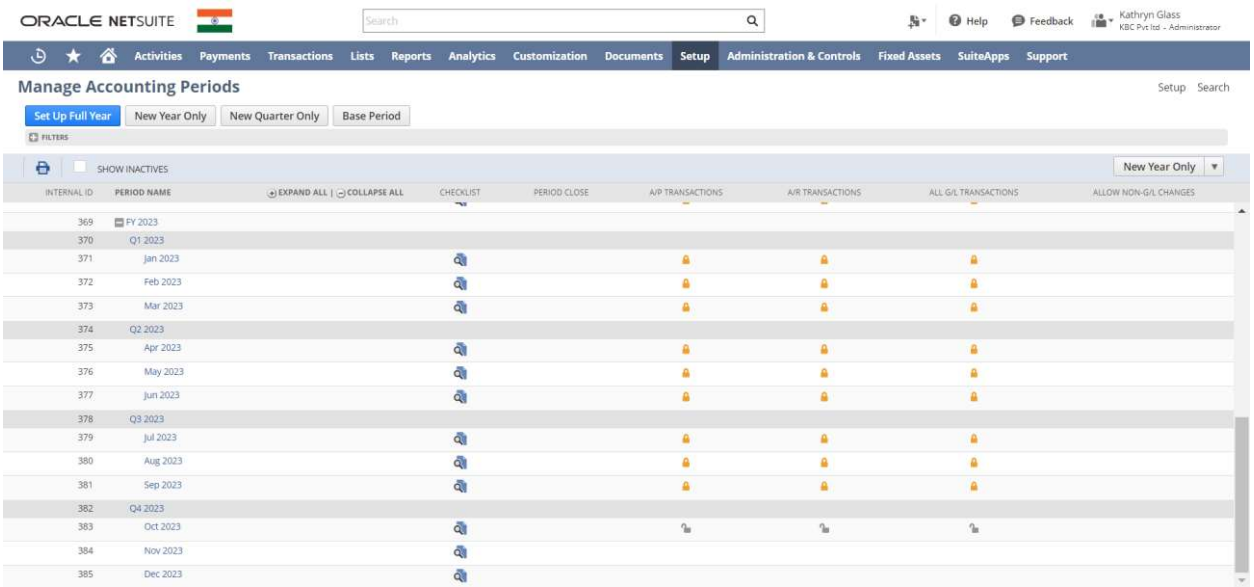
- The same process will be done to close every account period.

Q.6. Is it possible to reopen the transaction after the closing period?

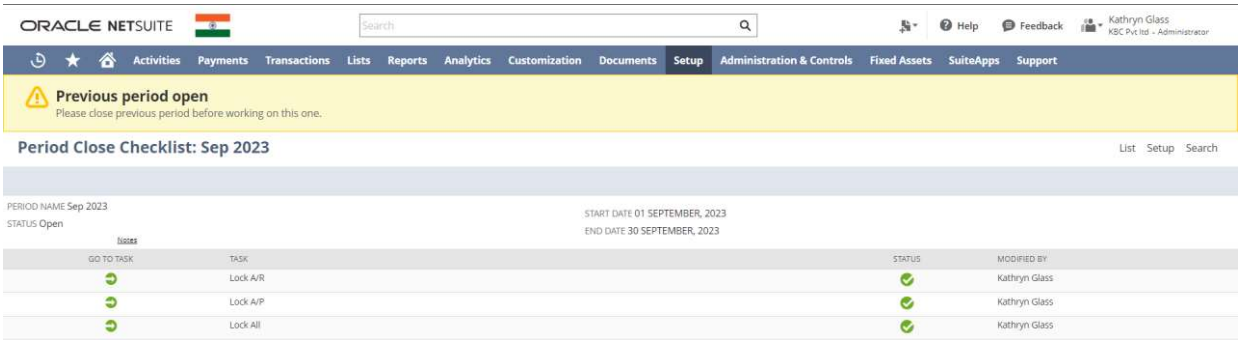
Ans.

- Yes, we can reopen the transaction after the closing period.

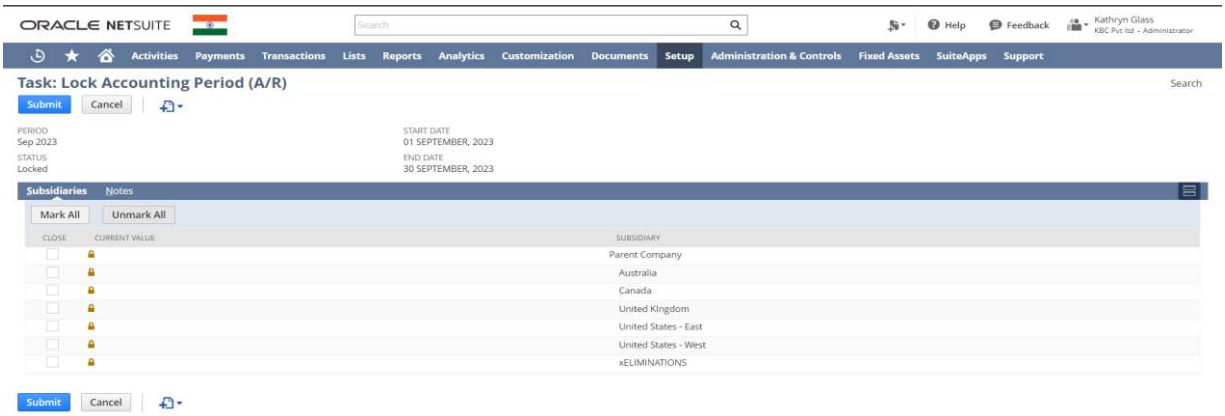
- Go to Setup > Accounting > Manage GL > Manage Accounting Periods.
- We will find a list of account period we have created till now.

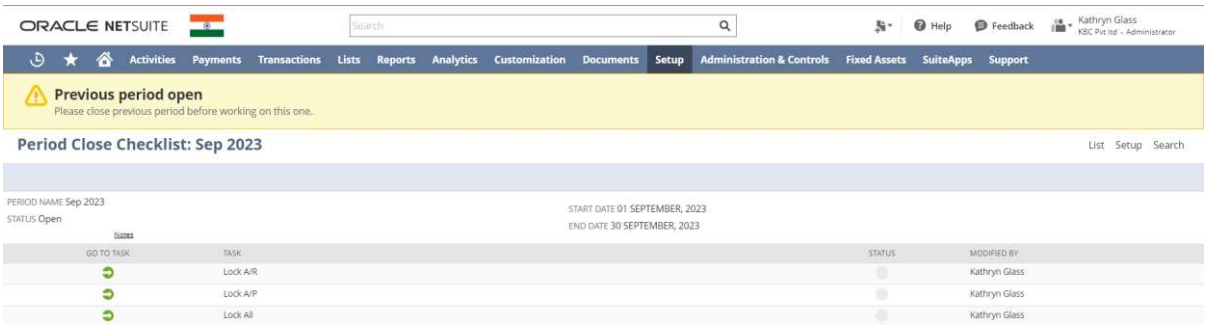


- Go to Period Close Checklist of the period which already closed.

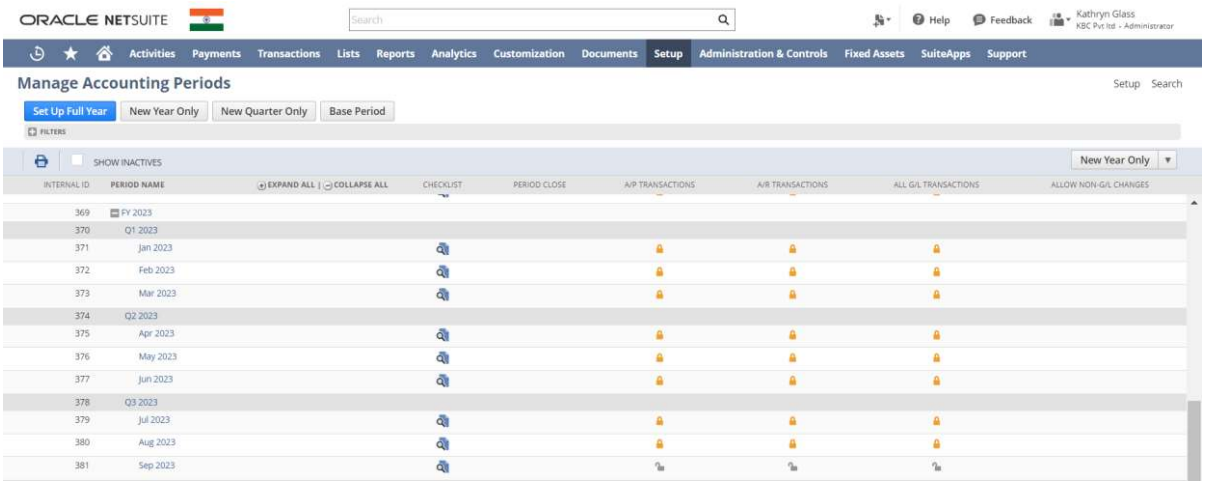


- Then go to task > Unmark all tasks in the checklist > Submit.





- In this way we have unlocked Sep 2023 A/R, A/P & Non-GL transaction.



Q.7. What is GL Impact?

Ans.

- GL impact refers to the effect or impact that a financial transaction has on the General Ledger (GL) accounts of a company.
- The GL impact is the result of these debit and credit entries on specific General Ledger accounts. Depending on the nature of the transaction, certain accounts will be debited (increased), while others will be credited (decreased).
- For example, when a company makes a sale, it will record a debit to an accounts receivable or cash account (increasing the asset), and it will record a credit to a revenue account (increasing income). When a company incurs an expense, it will record a debit to an expense account (increasing expenses) and a credit to a cash or accounts payable account (decreasing assets or increasing liabilities).

Q.8. What are Posting & Non-Posting transactions? List the posting and non-posting transactions from the Order to Cash & Procure to Pay cycles.

Ans.

Posting Transactions:

- Posting transactions are those financial transactions that directly impact on the General Ledger accounts. They involve changes to the account balances and are a fundamental part of the accounting process. Posting transactions affect the company's financial statements, such as the income statement, balance sheet, and statement of cash flows.
- Examples: Common examples of posting transactions include sales, purchases, expense payments, revenue recognition, journal entries, and any activity that results in changes to asset, liability, equity, revenue, or expense accounts.

Non-Posting Transactions:

- Non-posting transactions are financial activities that do not have a direct impact on the General Ledger accounts. These transactions are typically informational or administrative in nature.
- Examples: Common examples of non-posting transactions include generating reports, setting up budgets, creating purchase orders, and other administrative tasks. These transactions provide important data and information for decision-making but do not change account balances.

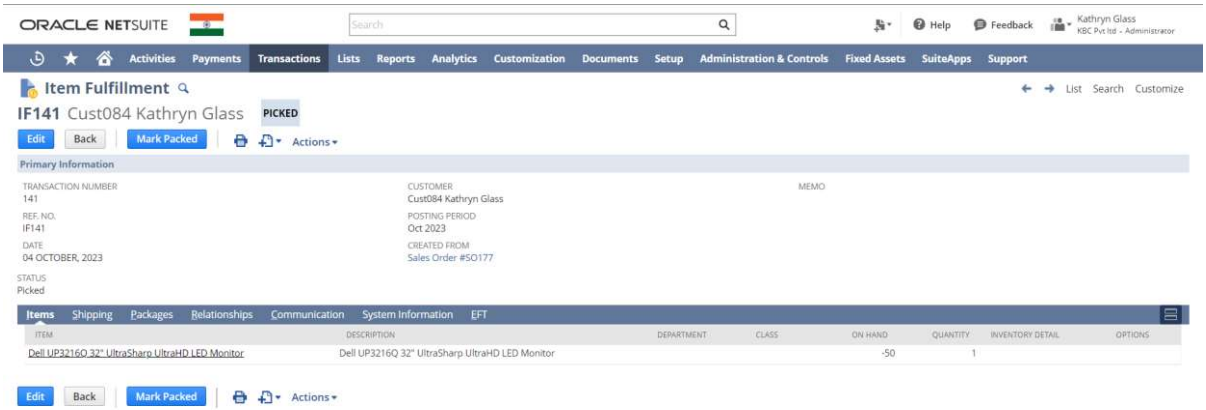
Order to cash	Posting / Non-Posting Transaction
Sales Order	Non-posting
Approval	Non- posting
Item Fulfillment	Posting
Pick, Pack, Shipped	Posting
Invoice	Posting
Payment	Posting

Procure to pay	Posting / Non-Posting Transaction
Purchase Requisition	Non-posting
Approval	Non-posting
Purchase Order	Non-posting
Item Receipt	Posting
Billing	Posting
Payment	Posting

Q.9. If you are doing an Item Fulfillment transaction? What will be the impact of the GL for this?

Ans.

- Create sales order > Fulfil the order > Print GL impact.



- There will be no GL impact for Item fulfillment

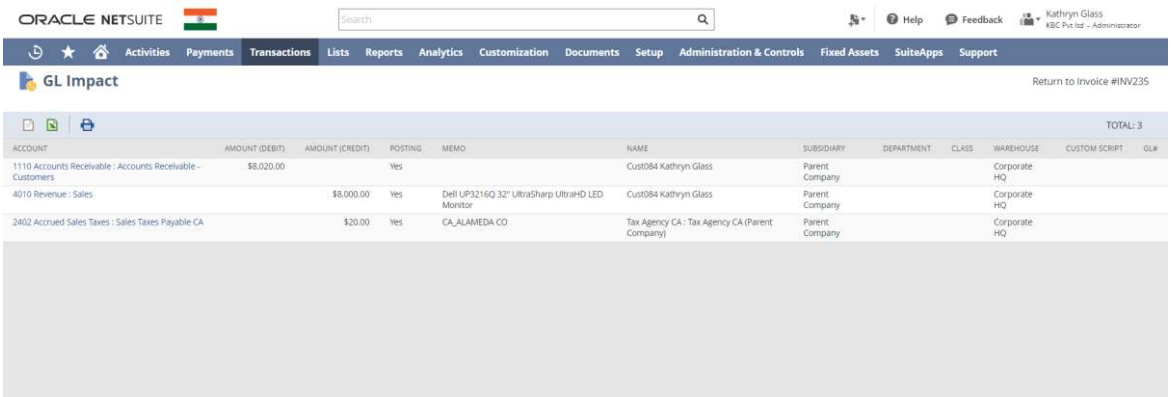
KBC Pvt ltd
98 Professor's Row,
Medford , Maharashtra , 02155
India

GL Impact

Date	Posting Period	Transaction Type	Document Number
04 October, 2023	Oct 2023	Item Fulfillment	IF141

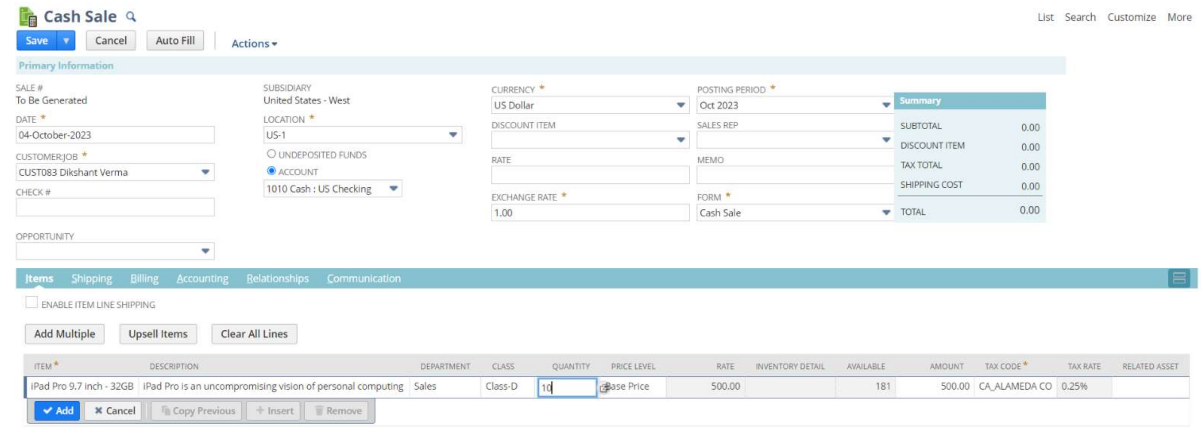
No GL impacting lines.

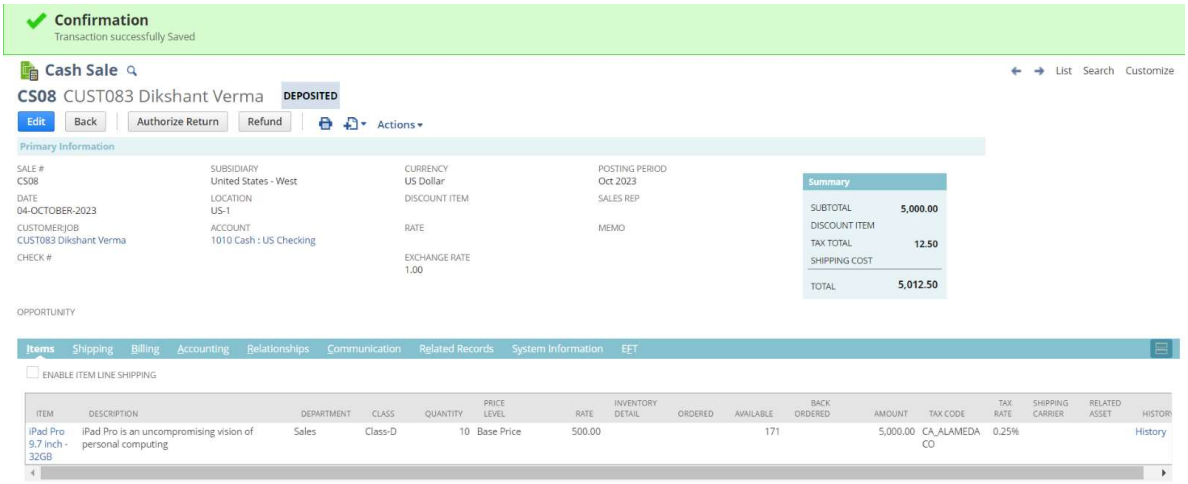
- If we create a bill, then we will find GL impact.



Q.10. If there is direct cash sale transaction, what will be the GL impact for direct cash sale?

Ans. Create a cash sale: Transaction > Sales > Enter cash sale > New.





GL Impact

Return to Cash Sale #CS08

TOTAL: 5

ACCOUNT	AMOUNT (DEBIT)	AMOUNT (CREDIT)	POSTING	MEMO	NAME	SUBSIDIARY	DEPARTMENT	CLASS	WAREHOUSE	CUSTOM SCRIPT	GL#
1010 Cash : US Checking	$5,012.50		Yes		CUST083 Dikshant Verma	Parent Company : United States - West			US-1		
4010 Revenue : Sales		$5,000.00	Yes	iPad Pro is an uncompromising vision of personal computing	CUST083 Dikshant Verma	Parent Company : United States - West	Sales	Class-D	US-1		
5010 Cost of Goods Sold : Cost of Sales	$3,400.00		Yes	Cost of Sales	CUST083 Dikshant Verma	Parent Company : United States - West	Sales	Class-D	US-1		
1210 Inventories : Inventory In Stock		$3,400.00	Yes	Cost of Sales	CUST083 Dikshant Verma	Parent Company : United States - West	Sales	Class-D	US-1		
2402 Accrued Sales Taxes : Sales Taxes Payable CA		$12.50	Yes	CA_ALAMEDA CO	Tax Agency CA	Parent Company : United States - West			US-1		

Q.11. Watch a video “Finance & Accounting Set Up” from the ERP Fundamentals.

Ans.Watched.